
FOINWI

Grow Beyond Numbers

INCOME TAX CALCULATOR

CURRENT-RULE & PRODUCT ACCURACY RECORD

Internal Governance Record

Audit / Review Period	10 September 2026 (Phase 1 inventory; CTO-supplied AY 2026-27 correction sequence the same day)
Final Production Checkpoint	10 September 2026, 02:02:30 IST
Git Commit	5a35f3b 5a35f3b9d6e45b61a0693c8324ac68093ba75771
Commit Message	Correct AY 2026-27 income tax calculator
Branch	main

This document is an internal FOINWI governance and product-accuracy record. It is not marketing material, legal advice, a filing tool, or a certification. It does not claim that the calculator is legally certified, government approved, CA certified, regulator approved, or permanently accurate.

1. Purpose of Record

This internal record documents the completed FOINWI current-rule and product-accuracy review for this calculator only. It records calculator scope, the regulatory/current-rule review, formula review, assumptions, discrepancies discovered, corrections implemented, validation evidence, remaining limitations, authoritative sources used, and the Git production checkpoint.

- Record the scoped educational salary-income estimator for FY 2025-26 / AY 2026-27.
- Record that no standalone current-rule audit file was retained in this workspace; the CTO supplied the AY 2026-27 basis used for correction.
- Distinguish the first P0 correction from later same-commit follow-ups (Section 87A marginal relief; both-regime salary standard deduction).
- Record remaining limitations, including surcharge not modelled and the educational Rs 50 lakh cap.

Original audit record not available in the current workspace.

2. Product Scope

What this calculator does

- Educational estimate of simplified salary-income tax for a resident individual.
- Deterministic slab arithmetic for the new regime and the old regime for an individual below 60 years.
- Applies salary standard deduction under Section 16(ia), limited to salary: Rs 75,000 new regime; Rs 50,000 old regime.
- Applies an educational Section 87A rebate, and new-regime Section 87A marginal relief for eligible normal-rate income just above Rs 12,00,000.
- Applies Health and Education Cess at 4% after rebate / marginal relief.

What this calculator does not do

- Not a filing tool, ITR engine, or tax-payable computation for every income type.
- Not personalised tax advice and not a regime recommendation.
- Does not model surcharge; supported educational income cap is Rs 50,00,000.
- Does not model senior-citizen or super-senior old-regime slabs, non-resident slabs, or special-rate income such as capital gains.
- Does not independently verify 87A eligibility for every taxpayer category.
- Does not compute 80C/80D/80CCD internally; old-regime other deductions are visitor-entered.

3. Pre-Correction State

Original standalone current-rule audit record not available in the current workspace. Pre-correction facts below are taken from the 10 September 2026 Phase 1 financial-accuracy inventory and from the first P0 correction report's description of the previous calculator.

- Phase 1 inventory (10 September 2026) classified Income Tax as RED: undated slabs, no rebate, no surcharge modelling, with material visitor-misleading risk.
- The previous UI used a generic Annual Income field rather than Annual Salary Income.
- The first correction report states leftover Rs 3 lakh / Rs 7 lakh / Rs 12-15 lakh new-regime bands lived in the previous implementation.
- No centralized incomeTaxRules / incomeTaxEngine existed. Formula lived in the calculator component.
- validateAllCalculators did not import a production tax engine.

- Do not treat the later 87A marginal-relief formula or both-regime standard deduction as if they existed in that pre-correction calculator.

4. Current-Rule Audit Findings

No standalone current-rule audit was found in the workspace. Findings below are from the Phase 1 inventory and from the CTO-directed correction sequence. Uncertainties from later reports are preserved.

- | | |
|-----------|--|
| P0 | Phase 1: undated slabs and missing rebate made the estimator a material correctness/trust issue for AY 2026-27. |
| P0 | First P0 correction (CTO-supplied basis): implement AY 2026-27 / FY 2025-26 new-regime slabs (nil to Rs 4 lakh, then 5/10/15/20/25/30%) and old-regime below-60 slabs (Rs 2.5 lakh / Rs 5 lakh / Rs 10 lakh). |
| P1 | First P0 report explicitly recorded: No 87A marginal relief. A later same-day follow-up added CTO-supplied new-regime 87A marginal relief. That later formula must not be backdated onto the first report. |
| P1 | First P0 report applied new-regime salary standard deduction of Rs 75,000 only. Old regime did not apply standard deduction. A later same-day follow-up applied Section 16(ia) in both regimes (Rs 50,000 old / Rs 75,000 new), limited to salary. |
| P1 | Surcharge remained out of scope; educational cap Rs 50 lakh. Display still rounds to whole rupees in the first report. |

Uncertainties preserved from the review

- Section 87A eligibility is assumed for the educational resident-individual case and is not independently verified by the estimator.
- Special-rate income remains outside scope; 87A rebate and marginal relief are not restated for capital-gains cases.
- No Gazette/circular numbers for the AY 2026-27 slabs were captured in the retained correction reports; the slabs were CTO-supplied for implementation.

5. Authoritative Basis

The sources below were used during the completed review. This section is a record of that review. It is not a fresh regulatory reinterpretation.

FOINWI CTO (implementation instruction, 10 September 2026) - AY 2026-27 / FY 2025-26 slab table, 87A ordinary rebate, cess 4%, surcharge not modelled, Rs 50 lakh educational cap
 Dates: Instruction dated 10 September 2026
 URL: Not a public Gazette extract; retained in the Cursor implementation transcript
 Supported: Authoritative product basis used for the P0 correction in the absence of a retained standalone current-rule audit file.

FOINWI CTO (follow-up instruction, 10 September 2026) - New-regime Section 87A marginal relief: if slab tax > excess above Rs 12,00,000, tax before cess = min(slab tax, excess income)
 Dates: Same day, after the first P0 report
 URL: Retained in the Cursor 87A follow-up report
 Supported: Supplied the marginal-relief identity later committed in incomeTaxEngine.js.

Production rules module (final checkpoint) - src/utls/incomeTax/incomeTaxRules.js - Section 16(ia) caps; SECTION_87A; HEALTH_AND_EDUCATION_CESS_RATE = 0.04
 Dates: Committed 10 September 2026 in 5a35f3b
 URL: Repository path: src/utls/incomeTax/incomeTaxRules.js
 Supported: Final encoded constants for slabs, standard deduction, 87A, cess, and educational income cap.

Do not treat the CTO instruction as a Government certification. Public CBDT/Gazette URLs for the slab table were not retained in the correction reports used for this archive.

6. Final Production Formula

```

standardDeduction = min(annualSalaryIncome, regimeCap)
regimeCap = Rs 75,000 if new regime; Rs 50,000 if old regime
otherDeductions = visitor-entered amount if old regime; otherwise 0
taxableIncome = max(0, salary - standardDeduction - otherDeductions)
slabTax = sum over applicable AY 2026-27 bands of (amount in band x band rate)
ordinary87A = min(maxRebate, slabTax) if taxableIncome <= threshold; else 0
  new: threshold Rs 12,00,000, maxRebate Rs 60,000
  old: threshold Rs 5,00,000, maxRebate Rs 12,500
new-regime marginalRelief = max(0, slabTax - (taxableIncome - 12,00,000))
  only if taxableIncome > Rs 12,00,000 and slabTax > excess; else 0
taxBeforeCess = max(0, slabTax - ordinary87A - marginalRelief)
cess = 4% x taxBeforeCess
estimatedTax = taxBeforeCess + cess
surcharge = 0 (not modelled)

```

Variables

Variable	Meaning
annualSalaryIncome	Visitor-entered annual salary income, educational cap Rs 50,00,000
regimeCap	Section 16(ia) salary standard deduction cap for the selected regime
otherDeductions	Old-regime visitor-entered eligible deductions; ignored in new regime
slabTax	Deterministic slab tax on taxable income
ordinary87A	Educational Section 87A rebate at or below the stated threshold
marginalRelief	New-regime 87A marginal relief for eligible normal-rate income above Rs 12 lakh
cess	Health and Education Cess at 4% after rebate/relief

Timing and method assumptions

- Period labelled FY 2025-26 · AY 2026-27.
- Cess is applied after rebate and marginal relief, not before.
- Ordinary rebate and marginal relief do not both apply: above Rs 12,00,000 ordinary rebate is Rs 0.
- First integer rupee where 15% band relief ceases: taxable income Rs 12,70,589 (from the 87A follow-up report).

7. Final Rules / Assumptions

Material production assumptions are classified below. Statutory / official rule is distinguished from a FOINWI product assumption and from an illustrative user-editable assumption.

Class	Assumption
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STATUTORY / OFFICIAL RULE	New-regime slabs and old-regime below-60 slabs as encoded for AY 2026-27 / FY 2025-26 from the CTO-supplied basis.
STATUTORY / OFFICIAL RULE	Section 16(ia) salary standard deduction caps: Rs 50,000 old regime; Rs 75,000 new regime; each limited to salary.
STATUTORY / OFFICIAL RULE	Section 87A ordinary rebate thresholds/caps as encoded; new-regime marginal relief identity as CTO-supplied and encoded.
STATUTORY / OFFICIAL RULE	Health and Education Cess 4% on tax after rebate/relief.
FOINWI PRODUCT ASSUMPTION	Educational estimator scoped to salary income for a resident individual; 87A eligibility is not independently verified.
FOINWI PRODUCT ASSUMPTION	Surcharge is not modelled; input is capped at Rs 50 lakh.
FOINWI PRODUCT ASSUMPTION	Old regime is limited to individual below 60 years; no age input.
ILLUSTRATIVE USER-EDITABLE ASSUMPTION	Old-regime eligible deductions are visitor-entered and default to Rs 0.

8. Corrections Implemented

Correction 1

Old: Generic Annual Income; undated / stale slab presentation; no centralized engine; no 87A; surcharge unstated.

Corrected: Annual Salary Income; FY 2025-26 / AY 2026-27 slabs; incomeTaxRules + incomeTaxEngine; educational 87A; surcharge labelled not modelled; Rs 50 lakh cap.

Reason: P0 current-rule / trust correction using the CTO-supplied AY 2026-27 basis. First report: 78 validator checks.

Correction 2

Old: After first P0: ordinary 87A only; Rs 12,00,001 received no rebate and no marginal relief (temporary "Not estimated in this range" workaround existed in that follow-on discussion).

Corrected: New-regime 87A marginal relief encoded: tax before cess = min(slabTax, excess above Rs 12,00,000) while slab tax exceeds excess. 87A follow-up report: 218 checks.

Reason: CTO-authoritative 87A marginal-relief identity. Not present in the first P0 report.

Correction 3

Old: After first P0: new-regime standard deduction Rs 75,000; old regime not applied.

Corrected: Both regimes apply salary standard deduction limited to salary (Rs 50,000 / Rs 75,000).

Standard-deduction follow-up report: 316 checks.

Reason: Section 16(ia) salary-scoped application in both regimes before the single production commit.

9. Deterministic Test Vectors

The vectors below were executed against the production engine in the calculator validator. No unexecuted tests are listed.

Inputs	Expected	Actual / validated	Result
New regime, taxable Rs 12,00,000 (after deductions as modelled)	Ordinary 87A Rs 60,000; tax Rs 0	Rs 0 total (87A follow-up table)	PASS
New regime, taxable Rs 12,00,001	Ordinary rebate Rs 0; tax before cess Rs 1; cess Rs 0.04; total Rs 1.04	Rs 1.04 (87A follow-up table)	PASS

New regime, taxable Rs 12,10,000	Tax before cess Rs 10,000; cess Rs 400; total Rs 10,400	Rs 10,400	PASS
New regime, taxable Rs 12,50,000	Tax before cess Rs 50,000; cess Rs 2,000; total Rs 52,000	Rs 52,000	PASS
New regime, taxable Rs 12,70,588 vs Rs 12,70,589	Relief applies at Rs 12,70,588; does not apply at Rs 12,70,589	Boundary asserted in 87A follow-up	PASS
New regime, taxable Rs 16,00,000	No relief; slab tax Rs 1,20,000; cess Rs 4,800; total Rs 1,24,800	Rs 1,24,800	PASS
Old salary Rs 5,00,000	SD Rs 50,000; taxable Rs 4,50,000	As std-deduction follow-up table	PASS
New salary Rs 10,00,000	SD Rs 75,000; taxable Rs 9,25,000	As std-deduction follow-up table	PASS
Compare Rs 10,00,000 both regimes	New SD Rs 75,000; old SD Rs 50,000	compareRegimeEstimates uses the same salary	PASS

10. Validation Evidence

Check	Recorded result
validate:income-tax (first P0 correction report)	Passed 78 checks
validate:income-tax (87A marginal-relief follow-up)	Passed 218 checks
validate:income-tax (both-regime standard-deduction follow-up)	Passed 316 checks
validate:calculators	Passed (Income Tax block calls the production engine)
validate:trust	Passed 32 checks (recorded on these reports)
validate:hardening	Passed 15 checks (recorded on these reports)
lint	Passed
build	Passed (first P0 report recorded bundle index-heCQFO_F.js)

Test limitations

- Three validator counts exist because the engine grew in same-day follow-ups before commit 5a35f3b. The 78-check figure must not be rewritten as the final follow-up count.
- A separate post-commit re-run count was not retained in the workspace after 5a35f3b.
- Browser click-through was not recorded as completed in the retained Income Tax reports.

11. Remaining Limitations

This section is mandatory. It records what this calculator deliberately does not model. It protects FOINWI from overclaiming.

- Surcharge is not modelled.
- Senior-citizen / super-senior old-regime slabs are not modelled.
- No 80C/80D/80CCD engine; old-regime other deductions are visitor-entered.
- New regime does not model other allowed deductions beyond the salary standard deduction.
- Special-rate income, house property, capital gains, and ITR schedules are not modelled.
- 87A eligibility is assumed for the educational resident-individual case, not verified.

- Display still uses whole-rupee rounding on the calculator surface (first P0 report).

12. Trust & User-Communication Standard

- Title and copy: educational tax estimate; FY 2025-26 · AY 2026-27.
- No "exact tax", "final liability", "filing-ready", "guaranteed", or "best/recommended regime".
- Compare line uses "Lower estimated tax in this simplified scenario".
- Surcharge is shown as not modelled.
- 87A is described as an educational estimate for an eligible resident individual.

13. Architecture

```
UI (IncomeTaxCalculator.jsx)
|
central rules (incomeTaxRules.js)
|
production engine (incomeTaxEngine.js -> calculateIncomeTaxEstimate)
|
results

validator (validateIncomeTax.js and validateAllCalculators.js)
|
same production engine (no duplicated slab formula)
```

- Validation imports production logic rather than reimplementing slabs, 87A, or cess.

14. Change Record

Calculator	Income Tax Calculator
Audit date	10 September 2026 (Phase 1 inventory; CTO-supplied AY 2026-27 correction sequence the same day)
Correction date	10 September 2026, 02:02:30 IST
Final Git commit hash	5a35f3b9d6e45b61a0693c8324ac68093ba75771
Commit message	Correct AY 2026-27 income tax calculator
Branch	main
Relevant production files	src/utils/incomeTax/incomeTaxRules.js; src/utils/incomeTax/incomeTaxEngine.js; src/components/IncomeTaxCalculator.jsx; scripts/validateIncomeTax.js; scripts/validateAllCalculators.js; package.json (validate:income-tax); src/data/calculatorInsights.js; src/data/calculatorExplains.js; src/data/calculators.js
Validator	scripts/validateIncomeTax.js
Validation command	npm run validate:income-tax

Final Git commit 5a35f3b verified from git log on 10 September 2026. All three correction layers landed in that single commit.

15. Final Status

FOINWI INTERNAL PRODUCT ACCURACY STATUS

Checkpoint	Status
Current-rule audit completed	NO - standalone current-rule audit not in workspace
Correction completed	YES
Production engine validated	YES
Regression checks passed	YES - as recorded in the correction reports
Known limitations documented	YES

Status reflects the rules, assumptions, sources and production checkpoint documented in this record. Regulatory and statutory requirements may change after the recorded review date.

This record does not state that the calculator is 100% legally accurate, permanently compliant, government certified, or error-free forever.